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Recycling with the Best

Weekly Ship Recycling Report

08 June - 14 June 2024

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Highlights of the week

Eid Al-Adha

As we approach the celebration of Eid Al-Adha, we extend our heartfelt wishes to you and your family. May this special day bring joy, peace, and prosperity to all. Eid Mubarak!

In the ship recycling sector, different regions are grappling with their unique market conditions. India is currently in a downturn with reduced demand for ship steel scrap, but there's optimism for a rebound post-Eid, in line with historical trends that often see a revival after major festivals. In Bangladesh, the market remains stagnant with a slight decrease in local steel prices, and recycling activities are expected to halt temporarily during the Eid celebrations, likely leading to continued slow market conditions until early July. Pakistan's market is adjusting to fiscal policy changes that have removed tax exemptions and abolished an 18% sales tax on scrap sales, with industry stakeholders evaluating the potential long-term impacts. Similarly, Turkiye is experiencing a market slowdown as the upcoming holiday week is anticipated to dampen activity, reflecting the typical ups and downs associated with regional holidays and their effects on industrial operations.

Priya Blue Industries Pvt. Ltd. is among the key stakeholders expected to participate in a critical meeting scheduled on June 20, 2024, at the Gujarat Maritime Board's (GMB) Head Office. This meeting is part of preparations for a forthcoming visit by the European Ship Recycling Association (ESCA) and a delegation from the European Parliament's Environment Committee. The visit, planned for January or February 2025, will assess whether Indian shipyards, including those upgraded by GMB to meet EU standards, align with international environmental regulations.

The Indian ship recycling industry is projected to achieve a 15% revenue growth this fiscal year, as per CRISIL Ratings, rebounding after two years of decline. This growth is driven by an increased supply of ageing vessels due to global expansions in ship capacity, and India's competitive advantage over Bangladesh and Pakistan. Lower freight rates will make older ships economically unviable, leading to more being decommissioned for recycling. Indian recyclers, favored for their efficiency, are expected to see a 20-23% increase in volume, with stable cash flows and healthy credit profiles supported by solid operational and financial foundations.

Exchange Rates:

USD / INR ₹

This Week	: 83.54
Previous Week	: 83.40
Lost	: 0.14

USD / BDT ৳

This Week	: 117.50
Previous Week	: 117.40
Lost	: 0.10

USD / PKR Rs

This Week	: 278.48
Previous Week	: 278.10
Lost	: 0.38

USD / TRY ₺

This Week	: 32.65
Previous Week	: 32.25
Lost	: 0.40

India

Market anticipates post-Eid rebound in demand amid current downturn.

- The market is currently experiencing a downturn, with notably low demand.
- Cheaper steel scrap alternatives from other sources are available, leading to decreased interest in ship steel scrap.
- Positive momentum in demand is anticipated after Eid, based on historical trends of market revival following major festive periods.
- India is expected to maintain its position as the fastest-growing economy in the Asia-Pacific region in 2024, propelled by strong domestic momentum. According to a leading ratings agency, India showcased significant growth in the first half of the year. This upward trajectory is anticipated to surpass pre-COVID growth figures, fueled by increased exports, robust local demand, and extensive government spending on infrastructure.

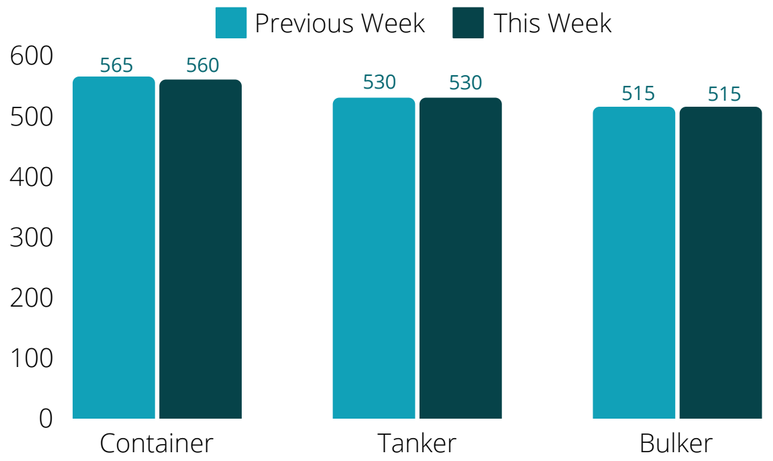
Beaching Dates

19 June to 28 June 2024

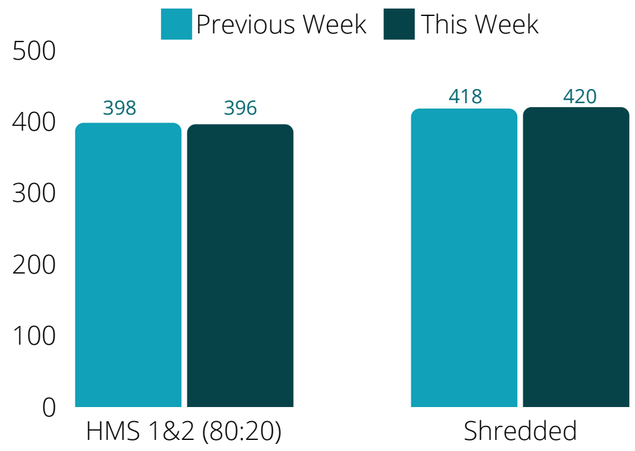
02 July to 11 July 2024

19 July to 27 July 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

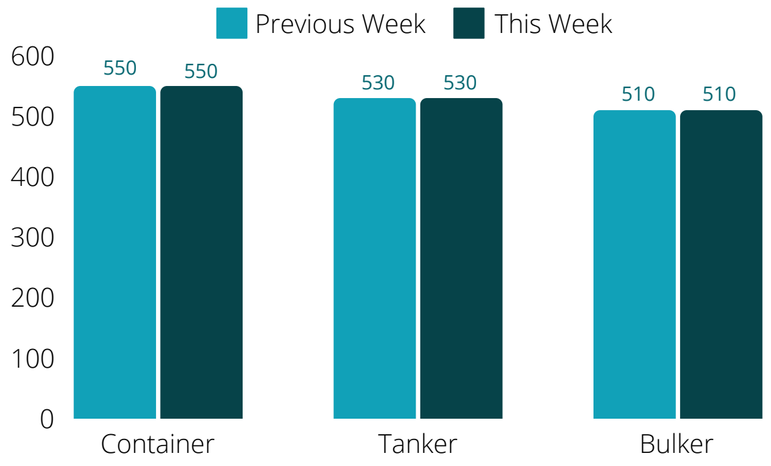
Eid festivities expected to sustain current market stagnation and slight price decreases until early July.

- The market has remained stagnant with no notable changes observed recently.
- Local market prices have experienced a slight downturn, decreasing by approximately 500 to 100 Taka (around 5 to 1 USD).
- With the approach of Eid, the region is gearing up for celebrations, resulting in the closure of recycling units for 10-15 days.
- These market conditions are expected to persist until the first week of July, reflecting the typical seasonal slowdown.
- The World Bank forecasts that Bangladesh's economy will grow to 5.7% in the fiscal year 2024-25 and increase slightly to 5.9% the following year. This growth is expected to be fueled by an increase in private consumption and the execution of major investment projects.

Beaching Dates

22 June to 25 June 2024
05 July to 08 July 2024
21 July to 24 July 2024

Price for Recycling Ships in Bangladesh



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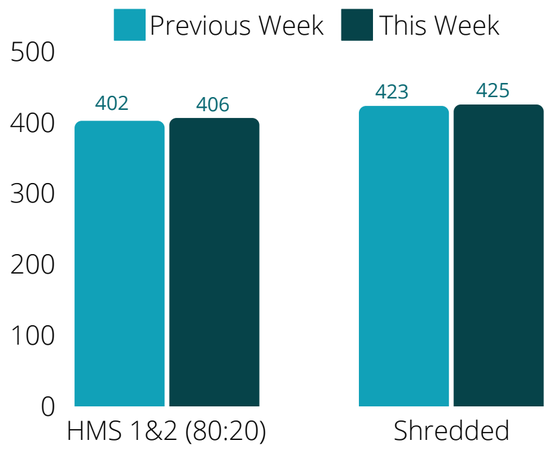


Pakistan

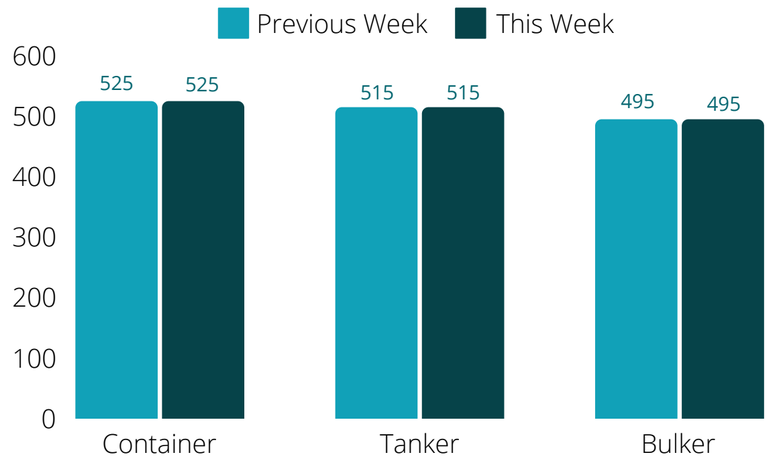
Market reacts to budget changes with new tax adjustments and removed exemptions.

- The recent budget has introduced minimal changes to duties, but has removed tax exemptions previously granted to underdeveloped areas, impacting the competitiveness of the steel industry.
- The 18% sales tax on scrap sales has been abolished, with manufacturers now required to pay sales tax at the point of sale instead of at purchase.
- Market participants are currently assessing the potential impacts of these changes on the industry.
- Business communities and traders' associations across Pakistan have expressed strong reservations about the PKR 18.9 trillion federal budget for 2024-2025, described as 'anti-trader.' Aligned with IMF requirements, the budget has faced criticism from major commerce chambers with leaders calling it draconian.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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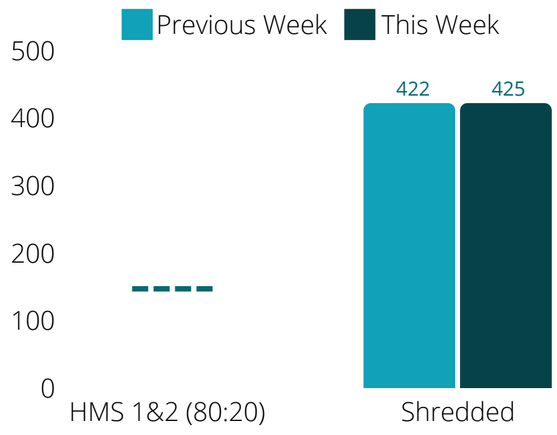


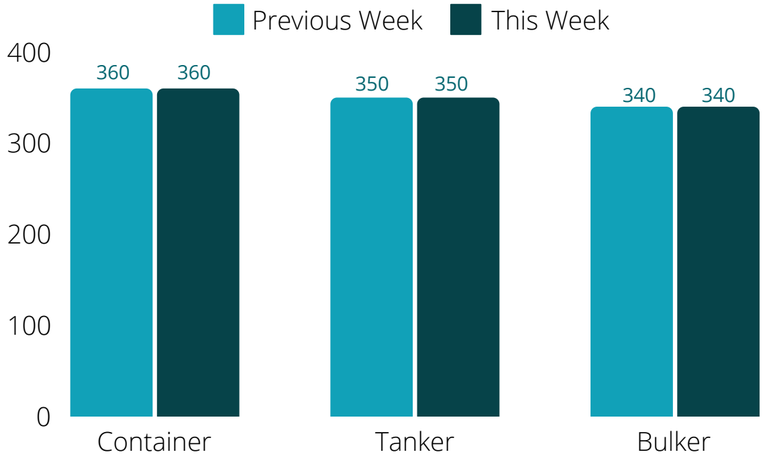
Türkiye

Market activity slows down as upcoming holiday week impacts operations.

- The market is currently experiencing a slowdown as the upcoming holiday week impacts activity.

- The World Bank has revised its growth forecast for Turkiye, reducing the 2024 GDP growth projection from 3.1% to 3%. Additionally, the 2025 growth forecast was cut from 3.3% to 3%. The bank anticipates a growth rate of 4.3% for the Turkish economy in 2026.

Price for Recycling Ships in Türkiye



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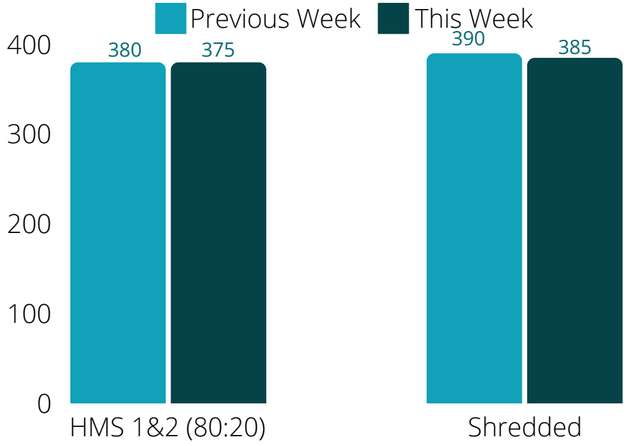
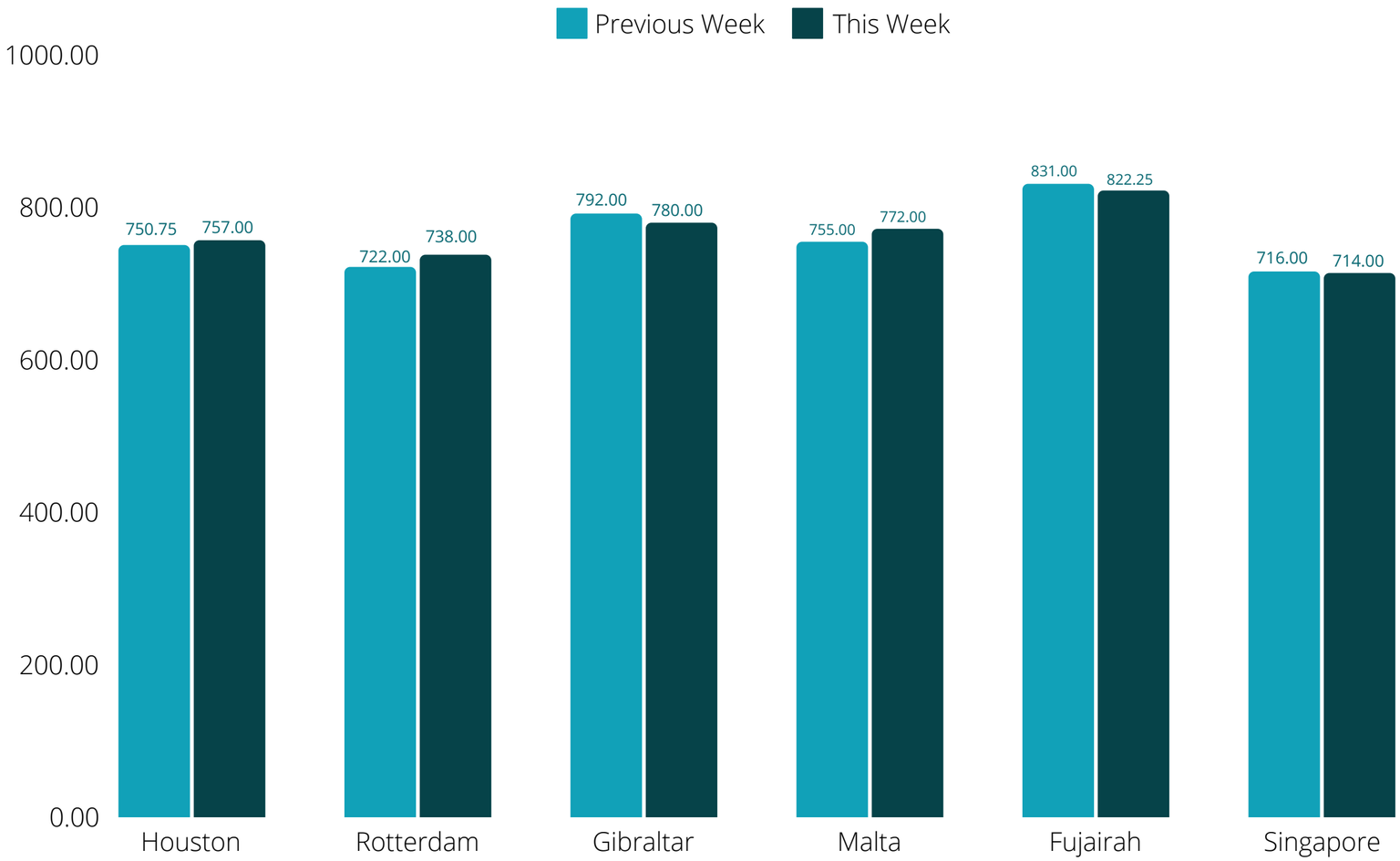


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 83.24
Previous Week	: 80.27
Movement	: + 2.97

WTI Crude

This Week	: 78.94
Previous Week	: 75.96
Movement	: + 2.98

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
CONTSHIP PRO	CONTAINER	9235622	2003	UKRAINE	4,852	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
FAR EAST GRACE	CONTAINER	9422574	2007	CHINA	3,585	AS-IS	JEBEL ALI, UAE	UNDISCLOSED
WAN TONG	REEFER	8907888	1990	JAPAN	4,897	AS-IS	TAIZHOU, CHINA	UNDISCLOSED
MSC TIA II	CONTAINER	9193680	1999	POLAND	10,611	DELIVERED	ALANG, INDIA (GREEN RECYCLING) YARDS AS PER MSC LIST	UNDISCLOSED

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